

S03-L3 — Consignment From the Inside: Contract, Commission, and Guarantees

Summary

Consigning a work to an auction house means signing a contract that goes well beyond a simple verbal agreement, one that splits money and risk between the work's owner and the house. This note develops the three central mechanisms of that contract in New York, the reserve, which sets the minimum sale price, the seller's commission, which is what the house retains from the result, and the guarantees, house guarantee and third-party guarantee, along with the irrevocable bid, the tools a house uses to secure the consignor a portion of the work's value before the hammer falls. It closes with two recent public cases, one at Sotheby's and one at Christie's, showing how each mechanism looks when applied to a real sale.

1. The Reserve and the Consignment Agreement

When an owner decides to sell a work at auction, they sign a consignment agreement with the house that sets, among other things, a minimum price below which the piece will not sell, called the reserve. If the highest bid of the night does not reach that floor, the lot goes unsold (bought in, in trade jargon) and the work returns to its owner. The reserve is agreed before the auction between the house and the consignor, typically in relation to the low estimate published in the catalogue.¹

2. The Seller's Commission

On the hammer price that is reached, the house charges a commission, distinct and separate from the buyer's premium the purchaser pays. Sotheby's is the only one of the three major houses to publish a standard rate for this commission, [10% of the hammer price, with a minimum commission of USD 500 on lots whose low estimate is USD 5,000 or less, and an additional 2% Success Fee when the result beats the agreed high estimate.](#)² Christie's and Phillips do not publish a fixed rate, they describe it as a term negotiated at the time of consignment, based on the work's value and category, though Christie's does publish a 2% Performance Commission when the hammer beats the agreed high estimate, paralleling Sotheby's own Success Fee.³ This carries a direct practical

consequence for any conversation with a client, any commission figure other than Sotheby's cannot be presented as a fixed number, because it depends on a specific negotiation between the house and the consignor.

3. Guarantees: House Guarantee and Third-Party Guarantee

When a house wants to secure an important consignment, it can offer something stronger than the reserve alone, a guarantee. Under a house guarantee, [the house assures the consignor a minimum price regardless of the auction's outcome, and if the lot hammers below that level or fails to sell, the house bears the economic exposure and in many cases ends up acquiring the work itself.](#)³

When the house would rather not carry that risk alone, it can share it with an outside third party through a third-party guarantee, the guarantor commits, typically through an irrevocable bid, and in exchange may receive a fixed or variable fee depending on the sale's final result.³ Christie's marks the third-party guarantee in its catalogue with the symbol $\circ\blacklozenge$, while Phillips uses $\blacklozenge$.⁴

4. The Irrevocable Bid

An irrevocable bid is a written commitment, signed before the auction, by which someone agrees to buy the lot at a set level if nobody bids higher, though they may continue bidding above that commitment if they choose. Sotheby's states that, where legally permissible, it may pay the irrevocable bidder (the IBer) a fee, which, if that bidder wins the auction, is netted against their final purchase price.⁵ Sotheby's marks this symbol on the lot's webpage, in the auction notice, or in a saleroom announcement, and requires the IBer to disclose their financial interest if they are advising another bidder in the same sale.⁵

5. Two Recent Public Cases

At Sotheby's Modern Evening Auction in May 2026, [Henri Matisse's *La Séance du matin* went up for sale marked at once as Guaranteed Property and with Irrevocable Bids](#), meaning Sotheby's had assured the consignor a price floor, and that someone had also committed in writing to bid up to a set level before the auction began.⁶ The same month, at Sotheby's Contemporary Day Auction, [Andy Warhol's *Flowers \[Six Works\]* also went up marked as Guaranteed Property with Irrevocable Bids](#), showing that the combination of both symbols is not limited to nine-figure evening-sale lots, it also appears in more accessible day-sale material.⁷

A different case, illustrating the third-party guarantee mechanism rather than the house guarantee, is an untitled work by the American abstract painter Mark Grotjahn (*Untitled (Free Capri 49.85)*) [sold by Christie's under the third-party](#)

[guarantee symbol, with a price realised of USD 1,003,300.](#)⁸ Here, the economic exposure before the auction sat not with Christie's but with an outside guarantor, who took on the bet in exchange for its own compensation.

For the Conversation with Clients

None of these mechanisms turns the auction into a sale closed in advance: bidding remains open to any buyer willing to top the guaranteed floor, and in fact that is what usually happens with the strongest pieces. What can be stated with confidence to a consigning client is that the reserve sets an agreed minimum, that the commission they will pay depends on the house and on a specific negotiation unless they consign with Sotheby's, and that a guarantee, if the house offers one, removes a real portion of the risk before the night of the sale. What cannot be stated without the specific contract documentation is the exact commission percentage or the terms of a particular guarantee, which only the house and its specialist department can set after evaluating the work.

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1. Sotheby's, [«Buy & Sell at Sotheby's»](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. Live fetch blocked on the day of this entry (see memoria/programa.md). ↵
 2. Sotheby's, [«Buy & Sell at Sotheby's»](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵
 3. Christie's, [«How to buy at Christie's — Financial information»](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵↵↵
 4. Christie's, [Mark Grotjahn lot page with the third-party guarantee symbol](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵
 5. Sotheby's, [«Guide for Buyers — Symbol Key»](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵↵
 6. Sotheby's, [Henri Matisse, *La Séance du matin*, Modern Evening Auction](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵
 7. Sotheby's, [Andy Warhol, *Flowers \[Six Works\]*, Contemporary Day Auction](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵
 8. Christie's, [Mark Grotjahn, *Untitled \(Free Capri 49.85\)*](#), sourced and verified in curso/fuentes/dossier-06-letra-chica.md on 2026-08-08. ↵